

Why do regional development gaps persist for centuries?

How history, connectivity, and urban inertia shape economic geography

Literature review for Economic Geography & Development

Inés Berenice BAURET MARTÍNEZ
ines-berenice.bauret-martinez@student-cs.fr

Rafael MAESTRE LÓPEZ
rafael.maestre-lopez@student-cs.fr

Óscar MARTÍNEZ ZAMORA
oscar.martinez-zamora@student-cs.fr

February 9, 2026

Student	Rafael	Inés	Óscar
Authors	Dell	Donaldson	Bleakley & Lin
Title	The Persistent Effects of Peru's Mining Mita	Railroads of the Raj: Estimating the Impact of Transportation Infrastructure	Portage and Path Dependence
Year	2010	2018	2012
Journal/WP	<i>Econometrica</i>	<i>American Economic Review</i>	<i>The Quarterly Journal of Economics</i>
CNRS rank	1e	1e	1e
Link	doi:10.3982/ECTA8121	doi:10.1257/aer.20101199	doi:10.1093/qje/qjs011

Abstract

Some regional inequalities in income, infrastructure, and urbanization persist for remarkably long periods, even when the original advantage (or shock) appears long gone. We address this persistence through three complementary mechanisms: (i) extractive institutions can leave durable scars on local investment, public goods provision, and productive structure (Dell, 2010), (ii) transportation infrastructure reduces trade costs and reallocates production, generating measurable changes in prices, flows, and welfare in general equilibrium (Donaldson, 2018), and (iii) geographically rooted advantages that have become obsolete may still organize economic activity through path dependence and agglomeration forces (Bleakley & Lin, 2012). Taken together, these studies suggest persistence can be driven by rules, networks, or coordination inertia-implying distinct policy levers depending on the dominant mechanism.

Contents

1	Rafael - Extractive institutions and persistence: Dell (2010)	2
2	Inés - Infrastructure and market integration: Donaldson (2018)	4
3	Óscar - Path dependence in urban location: Bleakley & Lin (2012)	6
4	Conclusion	8

1 Rafael - Extractive institutions and persistence: Dell (2010)

Regional development gaps can persist for centuries because history gets “stored” in the way a place is governed. A shock in the past can reshape who holds power, how land is owned, which public goods get built, and who can reach markets. Those features then shape everyday incentives: whether people invest, specialize, study, start firms, or migrate. Even when the original shock ends, the incentives remain, and the region can stay on a lower track.

Melissa Dell’s study of Peru’s mining mita makes this idea concrete. The mining mita was a forced labor draft instituted by the Spanish crown in 1573 and abolished in 1812, requiring over 200 indigenous communities to send one-seventh of their adult male population to work in the Potosí silver mines and the Huancavelica mercury mines. Treatment changes discretely at a historical boundary: communities inside the mapped mita zone faced the quota, those outside were exempt. Dell uses this as a geographic regression discontinuity: she compares modern districts close to the boundary (typically within 50 km), controls for smooth functions of location (alternative RD polynomials), and includes boundary-segment fixed effects plus geographic controls. Across specifications, districts inside the mita zone show about 25% lower household consumption and substantially higher child stunting (roughly 5.5 to 11.4 percentage points near the boundary, versus about 40% mean prevalence).

The key idea is that coercion does not only take labor, it can also rearrange local institutions. In Dell’s account, the mita produced long-run differences in (1) land tenure and protection, (2) infrastructure and market access, and (3) local political capacity. These channels reinforce each other. Once they form a loop, “catching up” is not automatic.

Start with land. Development is not only about having land, it is about being able to use it with security. If rights are unclear or hard to enforce, people invest less and choose safer activities with lower returns. They also have less access to credit, because lenders worry they cannot seize collateral.

A striking point in this case is that mita areas historically had fewer large estates (haciendas). Dell documents this with parish-report data from 1689: mita exposure is associated with roughly 10 to 13 fewer haciendas per district, and related measures of the hacienda system remain lower in later periods. Many people assume “fewer big landlords” must be good. Dell argues that in this setting the relevant comparison is not “big landlords versus secure small farmers.” Instead, it is often “big landlords versus small communities facing a predatory state with weak legal protection.” In such an environment, large landowners could sometimes provide a kind of protection: they had contacts, resources, and leverage to push back against some forms of coercion, and they could coordinate certain local investments. This does not mean haciendas were fair, it means power can sometimes substitute for missing rule-of-law. This is a general lesson about persistence, the effect of inequality depends on the wider institutional setting. Where courts and titles work, land concentration can block opportunity. Where the state is extractive and enforcement is weak, the absence of strong protectors can leave many people exposed. The deep variable is not inequality itself, but whether ordinary people can count on rules that protect property and contracts.

The second land-related mechanism is the sequence of reforms after the mita ended. Dell notes that communal land systems common in mita zones were abolished after independence, but peasants were not given strong, enforceable individual titles. That kind of partial reform can increase insecurity. It removes an old system of claims without creating a credible new one. If land can be taken through legal tricks or force, investment becomes risky, disputes become common, and long-term planning is discouraged. Importantly, this is not “colonial history” continuing by inertia, it is a new set of rules interacting with old weakness. That interaction is crucial for understanding centuries-long gaps. National reforms often assume a baseline level of courts, records, and enforcement. If those supports are missing in one region, the same reform can work differently there than elsewhere. In other words: the country changes, but it changes unevenly, because the starting conditions differ.

The third channel is infrastructure and market access. Using a GIS map of Peru’s road network, Dell finds little difference in local (within-district) road density, but large and statistically significant gaps in regional roads that connect population centers: mita exposure lowers regional road density by about 29 to 36 meters per km², and similarly reduces paved/gravel road density. Consistent with this, only about 18% of mita districts are accessible by paved roads versus roughly 40% outside the mita zone. These gaps matter because they raise trade costs and keep agriculture more subsistence-oriented: in the 1994 Agricultural Census, households inside the mita area are much less likely to sell produce in markets (effects on the order of 0.2 lower market participation in the baseline RD specifications).

The main idea of my essay is that infrastructure is not just engineering, it is politics. Roads require state funds, planning, and local coordination (land acquisition, maintenance, sometimes local contributions). Regions with organized elites and political voice can bargain for projects and keep them on the agenda. Regions that are poorer and less organized struggle to win those fights. That creates a feedback loop: weak roads reduce incomes and market participation, low incomes reduce local tax base and influence, low influence keeps roads weak. The loop can last for generations.

Migration is often seen as the natural equalizer: people move to opportunity and gaps shrink. Dell’s evidence suggests migration does not erase the mita effect. District population patterns are highly persistent over time (for example, the district-level population correlation between 1940 and 1993 is about 0.87), and the 1993 census does not show statistically significant differences in out-migration rates between mita and non-mita districts. There are also institutional barriers: gaining membership and land in a different indigenous community is difficult, making large cities the primary feasible destination for many migrants. I would add a second reason: migration can be selective. If the people most able to leave do so disproportionately, the region loses skills, entrepreneurs, and local leaders, weakening local capacity and making the loop harder to break.

Another driver is expectations. If households expect few buyers and disputes, they avoid investing. If firms expect weak demand and transport costs, they stay away. If the state expects low returns, it invests elsewhere. These beliefs lock in the gap.

Putting these pieces together gives a clear answer to the question. Regional development gaps persist for centuries when an initial shock becomes embedded in institutions that shape three deep variables: (1) security of rights, (2) political capacity, and (3) market access. Those variables influence investment and human capital, and the resulting economic structure reinforces the variables. That is path dependence in plain terms: the past changes the menu of options people face today.

Going beyond Dell, I think three extra hypotheses deserve attention.

First, state capacity may remain uneven in a way that matches the history of extraction. A colonial system can build strong capacity for control and collection, but not for services and justice. After independence, the state may still be present mainly as tax collection and policing. If people experience the state as coercive rather than protective, they avoid formality and underinvest, which further weakens the case for the state to deliver services there. That is another loop.

Second, persistence may run through trust and collective action. Where rights are insecure and predation is common, large-scale cooperation is risky: organizations can be captured, and success can attract extraction. People then choose small, informal arrangements. Those are safer, but they are also less effective for lobbying, building infrastructure, or scaling businesses. What looks like “low social capital” can be a rational response to the incentive environment.

Third, health can transmit disadvantage across generations. Poor early-life nutrition and disease reduce learning and productivity later. If isolation and poverty keep health weak, the region may remain stuck even if formal schooling expands nationally.

These ideas push the reflection further by raising a practical sequencing problem: if you could intervene, what breaks the loop fastest, strong land titling backed by courts, a large regional road push, or early-life health programs, and is any single lever sufficient? Roads may fail, or even backfire, without secure rights because higher land values can increase incentives for land grabs; conversely, titles may deliver little if markets remain thin due to poor connectivity. This also points to political representation as a potential missing link: if historically disadvantaged regions gain more voice, do courts and infrastructure investments finally follow, or do the same bargaining failures persist under new rules?

My conclusion is that persistence is often about complementarity and sequence. A region with deep scars may need credible protection first (courts, conflict resolution), then connectivity (regional roads), then market deepening (finance, input markets, firm entry), with health and education supporting the whole process. If policy attacks only one symptom, the feedback loops can keep the gap alive.

So the mita case supports a general answer: regional gaps persist for centuries not because the past “lingers” mysteriously, but because the past built a system of incentives and power that keeps reproducing itself. Closing the gap requires breaking the loops, not waiting for time to do the job.

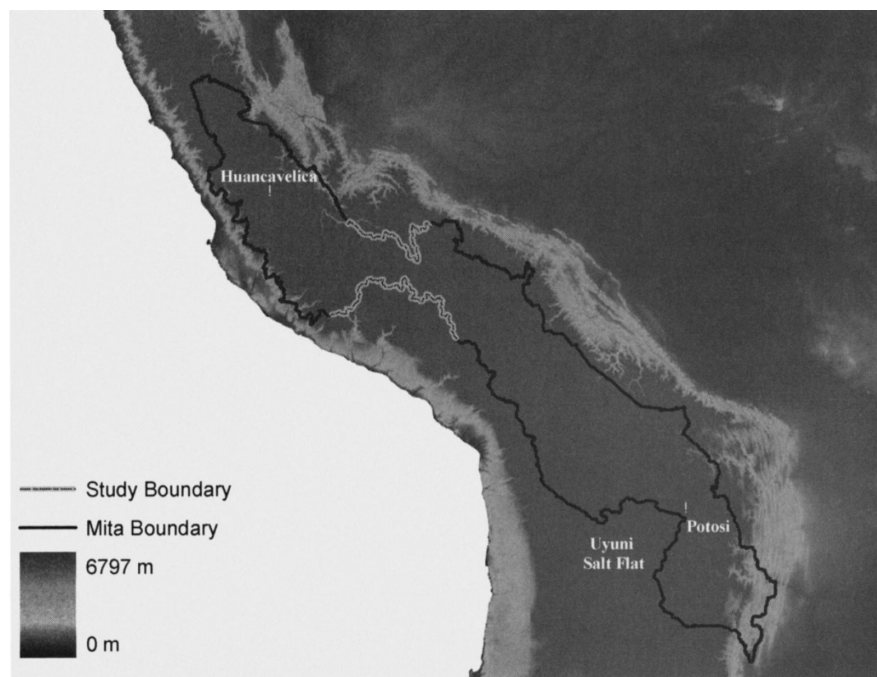


Figure 1: The mita boundary is shown in black, and the study boundary in light gray. Districts within the continuous area enclosed by the mita boundary supplied workers to the mita. Background shading indicates elevation.

2 Inés - Infrastructure and market integration: Donaldson (2018)

L'énigme de la stabilité spatiale constitue l'un des piliers de l'économie spatiale contemporaine : pourquoi certains territoires conservent-ils leur primauté économique, leur productivité ou leur intégration aux flux d'échanges pendant des siècles, en dépit des bouleversements technologiques et politiques ? Alors que l'on pourrait intuitivement s'attendre à une convergence régionale sous l'effet de la diffusion des savoirs et de l'unification des marchés, les faits révèlent une inertie remarquable des structures géographiques. Cette persistance nous place face à un dilemme analytique : est-elle le fruit de dotations naturelles immuables, comme la qualité des sols ou le climat, ou résulte-t-elle de trajectoires historiques et institutionnelles qui ont durablement ancré la connectivité entre les zones ?

L'article séminal de Dave Donaldson, intitulé "Railroads of the Raj: Estimating the Impact of Transportation Infrastructure", apporte une réponse à la fois empirique et théorique à ce questionnement fondamental. En se penchant sur la construction du gigantesque réseau ferroviaire de l'Inde coloniale entre 1853 et 1930, un chantier colossal de plus de 67 000 kilomètres, l'auteur fait de l'Inde un laboratoire naturel pour décortiquer les racines de la géographie économique. Pour l'économiste, l'intérêt réside dans l'alliance inédite entre une base de données archivistique massive et un modèle structurel rigoureux, issu de la nouvelle théorie du commerce international.

Le contexte de l'Inde coloniale offre une clarté analytique rare. Avant l'ère du rail, le transport intérieur était entravé par des infrastructures routières médiocres, des cours d'eau soumis aux aléas saisonniers et un cabotage maritime restreint aux ports majeurs. Les coûts prohibitifs et les délais incertains condamnaient de nombreux districts à une autarcie forcée. L'éruption du chemin de fer a pulvérisé ces obstacles, redessinant radicalement la carte de la connectivité relative. Plus frappant encore, le réseau actuel repose à 98 % sur ces tracés coloniaux, ce qui souligne une dépendance au sentier d'une longévité exceptionnelle.

L'objectif de Donaldson est de quantifier précisément les gains économiques issus de ce choc infrastructurel et d'évaluer si la réduction des coûts commerciaux a permis aux districts de substituer l'autarcie par l'exploitation de leurs avantages comparatifs. En examinant la méthodologie et les conclusions de cet article, nous pouvons mieux saisir comment des choix institutionnels passés, figés dans l'acier des rails, continuent de façonner les disparités de développement aujourd'hui.

Pour éclairer scientifiquement la question de la persistance, Donaldson suit un protocole de recherche structuré en quatre étapes, ancré dans un modèle de commerce ricardien en équilibre général. Ce cadre théorique, inspiré d'Eaton et Kortum (2002), suppose que chaque région possède des niveaux de productivité stochastiques pour diverses marchandises, distribués selon une loi de Fréchet. Cette hétérogénéité géographique crée une incitation à l'échange : en réduisant les coûts de transport (modélisés sous forme de coûts "iceberg"), le rail permet aux districts de délaissier leurs variétés les moins productives pour importer celles produites plus efficacement ailleurs. Le protocole commence par l'estimation précise des coûts de commerce, une variable habituellement inobservable. Donaldson utilise une propriété élégante du modèle : pour un bien homogène produit en un seul point, l'écart de prix entre l'origine et la destination est égal au coût de transport. Il exploite les données de prix de huit types de sel, produits en des lieux uniques mais consommés dans toute l'Inde. En appliquant un algorithme de théorie des graphes (Dijkstra) à un réseau comprenant rails, routes, rivières et côtes, et en utilisant une routine de moindres carrés non linéaires (NLS), il estime les coûts par mode de transport. Les résultats sont sans appel : le rail réduit les coûts de transport de manière drastique, la route étant estimée presque huit fois plus coûteuse que le rail.

La deuxième étape du protocole de recherche vise à valider le comportement du modèle en confrontant les réductions de coûts estimées à la réalité des flux commerciaux ($X_{k\text{odt}}$). À travers l'estimation d'une équation de gravité, l'auteur démontre que l'infrastructure ferroviaire a agi comme un puissant catalyseur d'intégration marchande. Cette phase est cruciale pour identifier le paramètre de sensibilité commerciale (θ_k), qui mesure l'élasticité des échanges par rapport aux coûts de transport. Par ailleurs, afin d'isoler l'effet structurel de l'innovation ferroviaire des aléas conjoncturels, Donaldson lie la productivité agricole (A_{ot}^k) aux chocs de précipitations mesurés par 3 614 stations météorologiques. Cette méthodologie permet de distinguer scientifiquement les gains dus à la connectivité physique de ceux issus de la productivité naturelle des sols. Les résultats confirment une expansion massive du commerce interrégional, prouvant que le rail a permis de transformer des avantages comparatifs latents en une spécialisation économique réelle.

Fort de cette calibration structurelle, la troisième étape du protocole évalue la traduction de cette intégration marchande en gains de bien-être, mesurés par le revenu agricole réel par acre. À l'aide d'une régression en forme réduite sur un panel de 235 districts incluant des effets fixes spatiaux et temporels, Donaldson démontre que l'accès au réseau ferroviaire a provoqué une hausse moyenne des revenus réels de 16 %, illustrant comment cette innovation de procédé déplace la frontière de production locale. Pour garantir la validité scientifique de cette causalité face au risque de biais de sélection institutionnelle, l'idée que les autorités coloniales auraient pu construire des rails prioritairement dans les zones à fort potentiel de croissance, l'auteur recourt à une stratégie rigoureuse de "placebos". En analysant l'impact de 40 000 km de lignes officiellement arpentées et documentées mais jamais construites pour des motifs budgétaires ou politiques exogènes (comme le veto sur le plan Lawrence), il observe une absence totale d'effets sur le développement de ces districts. Ce résultat négatif constitue une preuve fondamentale : il confirme que seule la connectivité matérielle réelle, et non une anticipation institutionnelle ou une caractéristique géographique latente, transforme durablement la géographie économique, ancrant ainsi les territoires dans une trajectoire de dépendance au sentier.

Enfin, la quatrième étape parachève cette démonstration scientifique en identifiant le canal de transmission de la croissance par l'usage d'une "statistique suffisante" : la part d'autarcie (π_{oo}). En mobilisant les paramètres de sensibilité commerciale et de productivité agricole estimés précédemment, Donaldson prouve que l'évolution de l'intégration

marchande explique à elle seule la quasi-totalité du surplus de bien-être observé. L'inclusion de cette statistique dans la régression fait s'effondrer le coefficient direct de l'infrastructure vers zéro, révélant que 86 % des gains de revenus découlent rigoureusement de l'exploitation des avantages comparatifs et non d'une hausse directe de productivité locale. Pour l'analyse de la croissance, ce résultat est déterminant : il valide le mécanisme structurel où l'innovation de réseau brise les rendements marginaux décroissants de l'isolement pour ancrer les territoires dans une trajectoire de spécialisation globale, expliquant ainsi comment la connectivité physique, une fois figée par les institutions, pérennise la géographie de la richesse.

Qu'apprenons-nous de ces résultats sur la persistance de la géographie économique ? L'étude démontre que la connectivité constitue le déterminant structurel majeur de l'espace économique. La persistance n'est pas le simple reflet de dotations naturelles immuables, car l'accès aux marchés transforme radicalement la valeur de ces dotations par le biais de la spécialisation. Cette dynamique s'analyse comme un changement technique fondamental appliqué à l'infrastructure : le rail représente une innovation de procédé majeure qui réduit les frictions commerciales. Selon le "dogme central" de la théorie de la croissance, une expansion soutenue exige un levier échappant aux rendements marginaux décroissants, ici, l'innovation déplace la frontière de production des districts en leur permettant d'accéder à la "technologie globale" par l'échange plutôt que de dépendre d'une productivité locale limitée.

Le rôle des institutions s'avère ici décisif pour expliquer cette inertie spatiale. Le tracé du réseau, dicté par le gouvernement colonial pour des raisons stratégiques et militaires exogènes, comme la nécessité de déplacer rapidement des troupes après 1857, a instauré une nouvelle géographie devenue permanente. Une fois ces infrastructures massives en place, les coûts de transition vers un autre modèle deviennent prohibitifs, créant une dépendance au sentier matérielle. Le fait que le réseau de 1930 constitue encore aujourd'hui la colonne vertébrale de l'économie indienne illustre ce mécanisme de verrouillage.

La méthodologie de Donaldson, alliant la rigueur des tests par placebos à l'usage d'une statistique suffisante, apporte la preuve scientifique que ce mécanisme de verrouillage provient bien de l'intégration marchande. En démontrant qu'une part écrasante de l'impact des chemins de fer est capturée par le seul canal de la spécialisation régionale, l'auteur prouve que la géographie économique persiste car les institutions historiques figent la connectivité dans le sol. Pour l'économiste, cela valide l'idée que les disparités régionales contemporaines sont les héritières de décisions logistiques anciennes, faisant de l'histoire et de l'acier les véritables architectes de l'espace économique mondial.

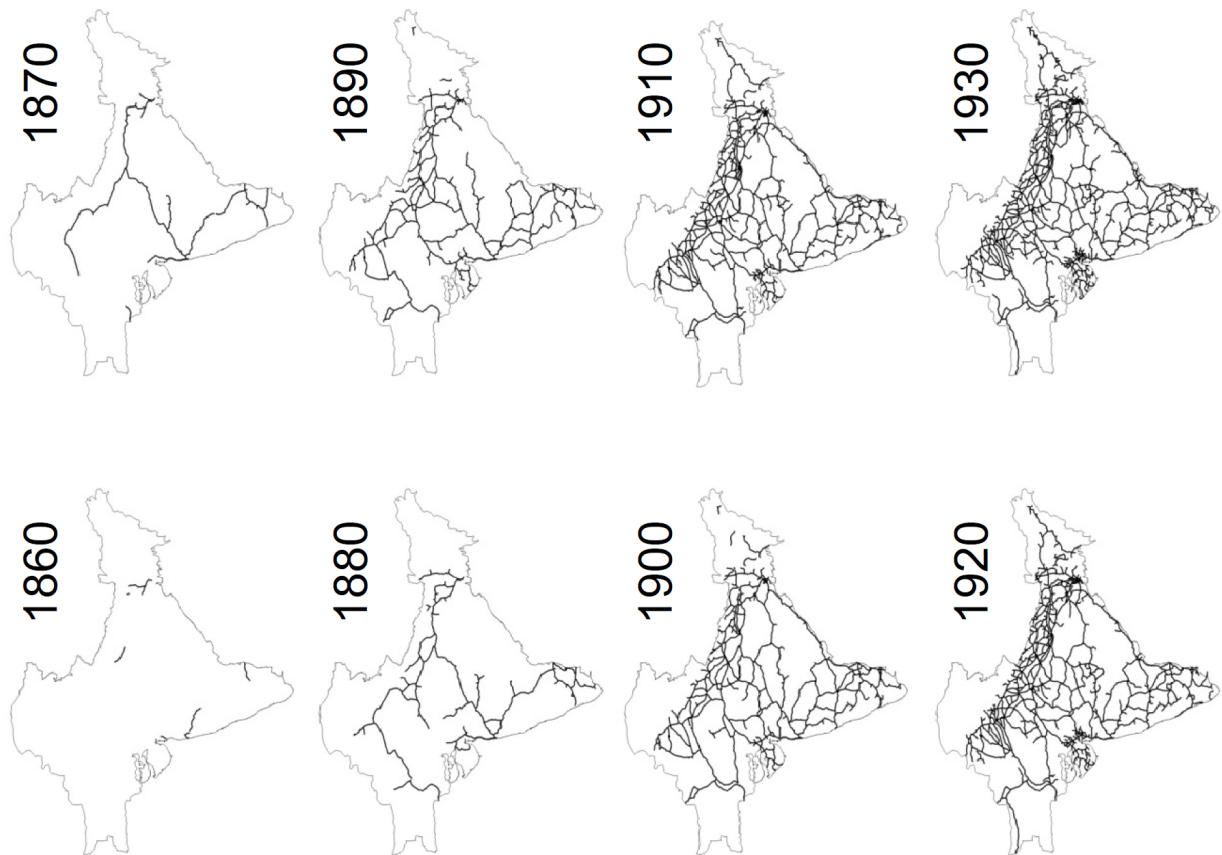


Figure 2: The Evolution of India's railroad network (1860–1930).

3 Óscar - Path dependence in urban location: Bleakley & Lin (2012)

The uneven distribution of economic activity raises a fundamental question: is it determined solely by a region's natural endowments, or does its history also play a role? Separating these two factors is complex because geographical advantages, such as a navigable river or a temperate climate, are usually permanent. This makes it difficult to distinguish whether a city prospers because of its current resources or because of the reasons that originally attracted people in the past. One solution is to study natural advantages that were vital under old technologies but have since become obsolete. By analyzing locations that lost their initial advantage, we can isolate the influence of history and demonstrate whether current economic activity depends more on past trajectories than on present resources.

One such original advantage, now obsolete, is portage: the overland transport of a boat or its cargo to bypass navigation obstacles such as rapids or waterfalls. During the colonization of North America, when trade depended almost exclusively on rivers, portage sites became crucial hubs for commerce. Since ocean-going vessels could not bypass these falls, these locations functioned as logistics centers where goods had to be transported to smaller vessels to continue inland. The physical necessity of moving cargo overland generated an immediate demand for support services, such as hauling and storage. This activity attracted greater commercial flow, turning portage sites into strategic markets where crops and supplies were exchanged. Over time, this commercial boom evolved, leading to the emergence of financial services that eventually consolidated the local economy and increased population density, giving rise to what will henceforth be called "portage cities."

In the 19th century, portage became obsolete due to three innovations: canals and locks that let ships bypass waterfalls without unloading, railroads running alongside rivers that replaced slow river transport, and cheaper power sources that removed the industrial edge of water sites. Census data from 1850–1930 confirms the decline: transport employment in counties with portage cities fell from a peak of 13.1% in 1880 to 2.6% by 1930, and water transport's share of local employment dropped from 1.5% in 1850 to 0.3% in 1930, matching counties that never relied on portage.

However, despite the increasing irrelevance of portage activity, the cities created out of it did not vanish. This is the case for Richmond, located at the falls of the James River, as well as current major metropolises such as Philadelphia, Baltimore, Washington D.C., Chicago, and Louisville. The study's most striking finding is that, although the need to carry canoes disappeared over a century ago, these sites remain significantly denser today than nearby areas with similar geography. Specifically, proximity to a historical portage site predicts an increase in current population density of between 50% and 110%, depending on whether it is measured by census tracts or satellite night lights. Furthermore, the authors identify a clear pattern of spatial decay: being just 10% further away from a portage site is associated with a 2% to 6% decrease in population density, highlighting how these historical points still anchor modern economic concentration.

To study this urban persistence, the authors first identified potential portage sites by manually tracing the "fall line", a geomorphological boundary separating the North American interior plateau (Piedmont) from the coastal plain, locating the precise intersections where rivers present waterfalls or rapids. To ensure the robustness of this analysis, the authors crossed these geographical data with county-level population censuses (1790–2000) and satellite night-light intensity data (2003), controlling for variables such as climate, elevation, and historical access to railroads. The fundamental logic is that if the original portage advantage were truly obsolete and only current natural endowments mattered, there should be no significant difference in density. By demonstrating that proximity to these sites predicts a much higher economic concentration today, the model validates that history generates powerful inertia over economic geography.

Once persistence is established, the second model focuses on identifying the specific mechanism that drove initial growth, discriminating between trade and water power. The hypothesis argues that if the fundamental advantage lay in the transport interruption for trade, the size of the upstream watershed (the drainage area) should be the determining factor. The data confirms this: a 10% larger upstream watershed is associated with a 4% higher population density in the portage site today. To further prove that this density stems from historical commerce and not just a preference for living near waterfalls, the authors analyze a counter-factual: if the watershed is very small (near the sample minimum of approximately 80 square miles), the effect of the portage site on current density is statistically zero. This confirms that the original advantage was indeed the trade of goods from a vast interior territory.

Subsequently, the third model analyzes the temporal evolution of these locations to determine if they suffered a "reversion to the mean." Traditional neoclassical models would predict that once the natural advantage (portage) disappeared, cities would decline due to congestion costs. However, the study finds the opposite: the elasticity of density with respect to portage proximity is actually higher today than it was in 1850. This indicates that the relative importance of these sites grew after portage became obsolete. Using a Difference-in-Differences estimation to compare the 20th century against the 19th, the authors find a positive coefficient of 0.456, proving there was no relative decline, but rather a trajectory of sustained growth.

To explain why these cities did not disappear upon losing their original advantage, the authors examine factor prices, specifically housing and wages, to definitively rule out the sunk-cost hypothesis. If the city persisted only because of an "oversupply" of old capital (cheap, old houses), prices should be abnormally low relative to density. However, the data show that housing prices and wages in portage sites are consistent with standard urban agglomeration levels. Furthermore, less than 15% of current housing was built before portage became obsolete, demonstrating that the vast majority of the wealth and physical capital in these cities was generated after the geographical advantage had vanished.

By ruling out sunk costs, the study concludes that persistence is better explained by a coordination model. The

historical portage site served as a "coordination device" that signaled where people and businesses should concentrate. Once a critical mass was established, increasing returns to scale (agglomeration economies) maintained the population there, regardless of the original geography. This model, however, raises a debate on economic optimality: if modern spatial distribution results from a historical accident, we must ask if we are trapped in cities that no longer possess a logical logistical basis. This suggests that regional policies might inadvertently attempt to save urban centers that exist solely due to historical inertia rather than contemporary efficiency.

In conclusion, the study attributes the persistence of portage cities to path dependence and historical coordination. This finding contrasts sharply with evidence from Japan, where rugged topography dictated a unique spatial equilibrium, forcing cities to return to their exact locations after WWII destruction. In the relatively homogeneous terrain of the United States, multiple sites were viable, and portage acted as a temporary coordination device that permanently anchored economic activity. Crucially, the authors find that portage sites with higher literacy rates in the nineteenth century experienced much stronger population growth following obsolescence. Personally, I find that this suggests that human capital is the true durable sunk asset of a city. While geography provides the first push, human capital allows a region to pivot and respecialize when technology leaves its original advantages behind.



Figure 3: The Density Near Fall-Line/River Intersections. This map shows the contemporary distribution of economic activity across the southeastern United States measured by the 2003 nighttime lights layer.

4 Conclusion

Regional development gaps persist for centuries because initial shocks get embedded into durable “state variables” of economic geography, institutions, connectivity, and spatial coordination, that change slowly and reinforce each other. Dell shows how an extractive institution can reallocate bargaining power and reshape land security, local political capacity, and public goods provision; even after the mita ends, weaker rights, thinner local organization, and poorer market access depress investment and human capital, which then further weakens the region’s ability to demand infrastructure or enforce rules. Donaldson shows a different but compatible channel: large transport investments permanently shift trade costs, specialization patterns, and real incomes, and once a network is built the spatial equilibrium becomes sticky because subsequent growth, logistics, and complementary investments accumulate on top of the original lines. Finally, Bleakley and Lin show how even when the original geographic advantage disappears, cities can persist through coordination and agglomeration: once activity concentrates somewhere, increasing returns, thick markets, and shared expectations can keep it there long after the initial reason is obsolete. Put together, persistence is not “history lingering” in a vague sense; it is self-reinforcing feedback loops between (i) who can credibly claim and protect assets, (ii) how cheaply places connect to markets, and (iii) where firms and people expect others to be. This also implies asymmetric policy levers: closing gaps requires breaking complementarities, legal capacity without connectivity may not raise returns, connectivity without protection can invite predation, and attempts to relocate activity without tackling coordination frictions may fail because expectations and networks anchor behavior.